It is human tendency to shift from one job to another in search of better salary and employment condition. Shifting from one job to another is called attrition. It was high in software industry. It is now coming down as the scope for shifting is coming down. In the interregnum period of shifting from one job to another persons may remain unemployed. This is called frictional unemployment. The individual job seekers have to take care of this problem with adequate precaution.

3. Cyclical Unemployment

The economy undergoes the cycles of boom, depression and crisis. These are called business cycles. At the time of crisis and depression the level of employment falls. It leads to unemployment. The root cause for this type of unemployment is lack of aggregate demand. The loss of jobs in the aftermath of the financial crisis in 2008 the world over comes under this category.

4. Disguised Unemployment

In this unemployment the persons are employed on face but their contribution to production/national product is zero. It means the marginal product/productivity is zero. Marginal product here refers to the produce added to the existing production due to addition of a new employee/worker.

For example, if six persons are employed in a factory and they produce 24 units and the fifth person is added and the produce increased to 26 units, the additional 2 units (26 - 247=2) is marginal product. Here, we can consider the fifth person as employed. If there is no increase in production, the marginal product is zero and he is disguisedly unemployed. Even if she/he is removed from the activity, there will be no decline in production.

This type of unemployment is widely noticed in Indian agriculture. At times addition of one more person may lead to decline in the marginal